Ramesh retires on 31.3.2019 subject to the following conditions:

(i) Goodwill of the firm is valued at ₹ 24,000

(ii) Machinery to be depreciated by 10%

(iii) Buildings to be appreciated by 20%

(iv) Stock to be appreciated by ₹ 2,000

(v) Provision for bad debts to be raised by ₹ 1,000

(vi) Final amount due to Ramesh is not paid immediately

Prepare the necessary ledger accounts and show the balance sheet of the firm after retirement.

Solution

Dr. Revaluation Account Cr.

Particulars	₹	₹	Particulars	₹
To Machinery A/c		7,000	By Buildings A/c	12,000
To Provision for bad debts A/c		1,000	By Stock A/c	2,000
To Profit on revaluation transferred to				
Raghu's capital A/c (2/6)	2,000			
Ravi's capital A/c (3/6)	3,000			
Ramesh capital A/c (1/6)	1,000	**6,000**		
		14,000		14,000

Dr. Capital Account Cr.

Particulars	Raghu ₹	Ravi ₹	Ramesh ₹	Particulars	Raghu ₹	Ravi ₹	Ramesh ₹
To Ramesh's capital A/c	1,600	2,400	-	By Balance b/d	30,000	40,000	20,000
				By Reserve fund A/c	12,000	18,000	6,000
To Ramesh's loan A/c			31,000	By Revaluation A/c	2,000	3,000	1,000
				By Raghu's capital A/c	-	-	1,600
To Balance c/d	**42,400**	**58,600**	-	By Ravi's capital A/c	-	-	2,400
	44,000	61,000	31,000		44,000	61,000	31,000
				By Balance b/d	42,400	58,600	-

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